

Agricultural commodities

Investors seeking inflation hedge snap up US farmland

Prices for prime Midwest ground climbed by up to a third in past year as world food prices hit records



A cattle farm in Hinton, Iowa. Investors constitute 35% of farmland purchasers in the US state © Dan Brouillette/Bloomberg

Madison Darbyshire in New York

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Investors are buying more US farmland in search of a hedge against inflation as commodity shortfalls caused by Russia's invasion of Ukraine drive world food prices to record highs.

Land values in the Midwest grain belt have gained 25-30 per cent in the past year while auctions draw intense bidding for available ground.

Demand for land has picked up in the past month as the war in Ukraine and financial sanctions on Russia curtail critical exports of wheat and corn from the Black Sea region. The UN's world food price index in February rose 24 per cent from a year earlier.

"Interest in the asset class has never been this high before," said Bruce Sherrick, a professor of farmland economics and director of the University of Illinois' TIAA centre for farmland research.

In the Midwestern state of Iowa, which restricts corporate ownership of farms, the buyer pool last month consisted of 35 per cent investors and 65 per cent farmers, according to the [Realtors Land Institute](#), compared with 18 per cent investors in 2019. The price of Iowa farmland rose by a third between March 2021 and March 2022, the institute said.

Big institutions have long pursued farmland, led by fund groups such as TIAA and public pension plans, but institutional investors own only 2 per cent of the \$3tn US market, according to industry estimates. More than 40 funds have raised \$8.7bn in the past five years to invest in US farmland, according to Preqin, a data provider.

Retail investors are able to buy into farmland investment trusts such as Gladstone Land, whose shares have doubled over the past year and trade under the ticker LAND, or Farmland Partners, which is up 21 per cent over the past year.

"Our investor education team cannot answer all the calls they are receiving. It's been difficult to get to the backlog of inquiries," said Carter Malloy, the founder of AcreTrader, a firm that enables retail investors to buy stakes in farms.

As land prices rise, competition for available farms has intensified. Investors are having to look harder to find attractive ground. "We're walking away from many more aggressively priced farms now," said Artem Milinchuk, founder of farmland investment platform FarmTogether.

Higher land prices have in some cases outstripped farmland's earnings potential, leading [income returns](#) to investors to decline in recent years, according to Nuveen Natural Capital, a division of TIAA.

But total returns, which also include price appreciation, have been strong: for annual cropland they were 11.1 per cent in 2021, according the NCREIF [Farmland Index](#), which tracks holdings of investors including Gladstone, TIAA and Prudential.

In the Midwest, the most mature and liquid US farmland market, investors are paying high land prices at a time where farm input costs such as fertiliser and diesel are going up, said Craig Wichner, the founder of Farmland LP, an investment fund that owns more than \$200mn in land and raised more than \$130mn in March.

“The worry is they’re investing into office buildings right before Covid,” Wichner said.

About 70 per cent of US farmland is set to change hands in the next 20 years, according to the US Department of Agriculture, and institutional investors are poised to gain a bigger share as old farmers retire.

John Robinson, a fourth-generation soyabean and corn farmer in central Illinois, said more investor involvement could prove valuable.

“I’m not going to buy \$20,000-per-acre farm ground, good Lord,” he said. “Land prices have jumped in the last two years. If there’s an investor who wants to do it, perfect. Let them take on the risk.”

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